Ballot Proposal 2 of 2026

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CAMPAIGN CONTRIBUTIONS AND EXPENDITURES

Proposal 26-2
November 3, 2026 General Election
Placed on the ballot by initiative petition
Complete to 10-7-26

SUMMARY:

Proposal 26-2 would amend the Michigan Campaign Finance Act[1] to prohibit regulated utilities and entities with government contracts over a certain amount from making contributions to certain candidates and officeholders; to regulate ads that refer to a clearly identifiable candidate during the period before an election even if they do not directly advocate for or against the candidate's election; to require election-related internet ads to disclose who paid for them; and to expand the meaning of the term *expenditure* when used in the act.

The following is the official language as it appears on the November 2026 ballot:

Proposal 2026-2

A proposed initiated law to prohibit campaign contributions from certain regulated utilities and government contractors and apply campaign finance laws and regulations to additional types of political communications

The proposal would:

- Prohibit regulated electric and gas utilities, contractors with over $250,000 annually in government contracts, and people and organizations with substantial connections to these utilities/contractors from making direct or indirect campaign contributions to those who run for or hold offices that impact them.
- Expand laws regulating spending on political communications, including those requiring disclosing donor information, to apply to communications clearly identifying candidates or ballot questions, even if they do not expressly advocate voting for/against them.
- Expressly apply the law requiring disclosure of who paid for political communications to internet political communications.

Should this proposal be adopted?

[ ] YES
[ ] NO

Proposal 26-2 was placed on the ballot by initiative petition (see **Background**, below). The text of the circulated petition can be found here:

https://www.michigan.gov/sos/-/media/Project/Websites/sos/BSC-Announcements/Michiganders-for-Money-out-of-Politics.pdf

[1] https://www.legislature.mi.gov/documents/mcl/pdf/MCL-ACT-388-OF-1976.pdf

Brief overview

The Campaign Finance Act regulates contributions and expenditures related to elections in this state.[2] With some exceptions, a group that receives contributions or makes expenditures of over $500 in a calendar year for the purpose of influencing voters must register as a committee and file reports disclosing those contributions and expenditures, as well as identifying individuals who have given more than $100. Most candidates for public office must form a committee shortly after becoming a candidate. Other committees under the act include ballot question, political party, and political and independent committees (often called political action committees, or PACs). What counts as a contribution or expenditure is defined in the act and the rules, declaratory rulings, and interpretive statements of the secretary of state. The act also regulates independent expenditures (those not made by or in coordination with a committee) and the disclosures and disclaimers (e.g., "Paid for by...") required to appear on most election-related ads. The secretary of state investigates complaints alleging that the act was violated.

Proposal 26-2 would prohibit electric and gas utilities regulated by the Michigan Public Safety Commission (MPSC), and their principals and affiliates, from making contributions to the governor, attorney general, or a state senator or representative; a candidate for those offices; certain committees making contributions to such a candidate; a member of or nominee to the MPSC; or an entity affiliated with such an officeholder, candidate, commissioner, or nominee.

Proposal 26-2 also would prohibit contractors that have state or local government contracts of more than $250,000 in a calendar year, including certain subcontractors, as well as their principals and affiliates, from making contributions to candidates for state or local office in the jurisdiction the contract is with; certain committees making contributions to those candidates; or entities affiliated with those candidates. This prohibition would apply 18 months after Proposal 26-2 itself takes effect.

In addition, advertisements addressing political issues that do not explicitly urge a vote for or against a candidate or ballot proposal (often called "issue ads") are currently not considered expenditures under the act, and so are not subject to reporting requirements for expenditures, contributions, and donors. They must, however, include a "Paid for by..." disclosure if they reference a clearly *identified* candidate or ballot question within 60 days before an election or 30 days before a primary in the area where that election or primary will take place.

Proposal 26-2 would remove the language that now excludes issue ads from being expenditures under the act. It would add reporting requirements for entities that spend $5,000 or more on ads that reference a clearly *identifiable* candidate within 100 days before an election or 30 days before a primary, including reporting the names of those who contributed more than $100. These ads also would be subject to "Paid for by..." disclosure requirements. In addition, ads that promote, support, attack, or oppose a candidate or ballot question would be considered expenditures under the act even if they do not expressly advocate a vote for or against.

Finally, Proposal 26-2 would add election-related internet ads, and audio and video ads delivered in ways other than through broadcast radio or television, to the act's provisions requiring "Paid for by..." disclosures.

Proposal 26-2 is described in detail below.

[2] https://www.michigan.gov/sos/elections/disclosure/cfr

Contributions made by utilities

Proposal 26-2 would prohibit an electric utility or gas utility,[3] a ***principal of an electric or gas utility***, or an entity affiliated with an electric or gas utility[4] from making a contribution or donation directly or indirectly to any of the following:

- The governor, the attorney general, a state senator, or a state representative.
- A candidate for an office listed above.
- A committee (except for an independent expenditure committee or a ballot question committee) that makes contributions to a candidate for an office listed above.
- A state or local party committee.
- A member of or nominee to the MPSC.
- An entity that is affiliated with[5] the governor, the attorney general, a state senator, a state representative, a candidate for any of those offices, or a member of or nominee to the MPSC and that does one or more of the following:
    - Spends more than $500 total in an election cycle to do any of the following:
        - Make contributions to the affiliated individual.
        - Make expenditures in support of the affiliated individual or opposing their opponent.
        - Make *electioneering communications* (see below) that refer to the affiliated individual or their opponent.
    - Pays for or reimburses expenses of the affiliated individual, such as travel, meals, or conference fees.

Principal of an electric or gas utility would include all of the following:

- An individual who is a member of the utility's board of directors, a majority owner of the utility (more than 50% ownership interest), or a substantial owner of the utility (at least 5% ownership interest).
- An individual who is employed by the electric or gas utility as a president, a chief executive officer, a treasurer, or an officer with similar responsibilities.
- An immediate family member of an individual described in either of the above.
- An agent of the utility, or of a principal of the utility, including a lobbyist or lobbyist agent under Michigan's laws regulating lobbying.

Sanctions

An electric or gas utility that violates these provisions would be subject to a civil fine of up to 10 times the amount of the contribution or donation. The secretary of state would have to investigate alleged violations. If a utility refuses to pay a civil fine, the attorney general could bring an action to collect it.

[3] The proposal would apply only to electric and gas utilities regulated by the MPSC, which does not regulate municipal electric utilities.

[4] This means an entity directly or indirectly established, financed, maintained, or controlled by the electric or gas utility or a principal of the electric or gas utility.

[5] An entity would be so affiliated if the individual or their agent, immediate family, or staff member directly or indirectly established, finances, maintains, or controls it; has solicited funds for it in the previous two years, unless it is a 501(c)(3) charitable organization; or serves it in an executive or managerial capacity.

Immediate family means a child residing in a candidate's household, the candidate's spouse, or an individual claimed by the candidate or their spouse as a dependent for federal income tax purposes.

Staff member would mean an individual who, during the previous two years, was employed or served in an executive or managerial capacity or was retained to provide professional services other than accounting or legal services.

Contributions made by government contractors

Beginning 18 months after it takes effect, Proposal 26-2 would prohibit certain state and local government contractors from making campaign contributions to candidates for office in the jurisdiction the contract is with. For state government contractors, these provisions would apply to contracts with the executive or legislative branch of state government and to contributions to candidates for ***state elective office***. For local government contractors, they would apply to contracts with a local unit of government[6] and to contributions to candidates for elective office in the jurisdiction those contracts are with.

> ***State elective office*** means the office of governor, lieutenant governor, secretary of state, attorney general, state senator, state representative, justice of the Supreme Court, member of the State Board of Education, regent of the University of Michigan, member of the Board of Trustees of Michigan State University, or member of the Board of Governors of Wayne State University.

This prohibition would apply only to a government contractor that has entered into or is seeking to enter into one or more contracts with the state or local unit of government, as applicable, that total more than $250,000 in a calendar year.[7] It would apply starting when negotiations for the relevant contract begin or the request for proposals or qualifications is released, whichever is earlier, and ending 18 months after the end of the relevant contract.

Specifically, Proposal 26-2 would prohibit a government contractor whose government ***contracts*** sought or entered into total over $250,000 in a calendar year, a ***principal of the government contractor***, or an entity affiliated with the government contractor[8] from making a contribution or donation directly or indirectly to any of the following:

- A candidate for elective office in the relevant jurisdiction, as described above.
- A committee (except for an independent expenditure committee or ballot question committee) that makes contributions to one or more such candidates.
- An entity affiliated with[9] such a candidate that does one or more of the following:
    - Spends more than $500 total in an election cycle to do any of the following:
        - Make contributions to that candidate.
        - Make expenditures in support of that candidate or opposing their opponent.
        - Make *electioneering communications* (see below) that refer to that candidate or their opponent.
    - Pays for or reimburses expenses of that candidate, such as travel, meals, or conference fees.

[6] *Local unit of government* means a county, city, village, township, district, authority, board, school district, intermediate school district, or community college district.

[7] This would include a subcontractor who has been hired to perform any part of an original state or local government contract and whose aggregate contracts or subcontracting agreements total over $250,000 in a calendar year. (As written, this threshold amount for subcontractors appears to apply to all contracts and subcontracting agreements, not just those with the state or local unit of government.)

[8] This means an entity directly or indirectly established, financed, maintained, or controlled by the contractor or a principal of the contractor.

[9] An entity would be considered so affiliated if the candidate or their agent, immediate family, or staff member directly or indirectly established, finances, maintains, or controls it; has solicited funds for it in the previous two years, unless it is a 501(c)(3) charitable organization; or serves it in an executive or managerial capacity.

Contract would mean an agreement for services; for goods, material, supplies, equipment, or items of any kind; for constructing, altering, or repairing a public building or public work; or for acquiring, selling, or leasing land or a building. The following would not be considered a *contract*:

- Loans or loan guarantees.
- Subsidies or grants allocated through the appropriation process.
- Collective bargaining agreements.
- Agreements of political subdivisions, such as counties or municipalities, with the state or with one another.

Principal of a government contractor would include all of the following:

- An individual who is a member of the contractor's board of directors, a majority owner of the contractor (more than 50% ownership interest), or a substantial owner of the contractor (at least 5% ownership interest).
- An individual who is employed by the contractor as a president, a chief executive officer, a treasurer, or an officer with similar responsibilities.
- An immediate family member of an individual described in either of the above.
- An agent of the contractor, including their lobbyist agent.

Sanctions

A person that violates a provision of the Michigan Campaign Finance Act is subject to a civil fine of up to $1,000 for each violation unless otherwise specified in the act.

Under Proposal 26-2, if a government contractor or its principal or affiliated entity knowingly and willingly makes a contribution or donation prohibited as described above, the state or local agency could cancel its existing contract with that contractor.

In addition, all state and local agencies would be prohibited from awarding the government contractor a contract for 12 months after the election related to the prohibited contribution or donation.

However, a person would not be considered in violation if the contribution or donation is returned to its source within 30 days after the recipient knew or should have known it was prohibited. In determining penalties for a violation, the secretary of state could consider mitigating and aggravating factors, including whether the person making the prohibited contribution or donation requested that it be returned within 30 days after it was made.

Reports of electioneering communications expenditures

Proposal 26-2 would add provisions to require a person that is not a committee and that makes ***electioneering communications*** that total at least $5,000 in a calendar year to file a report within 10 days of making electioneering communications of more than $5,000. The person would have to file a subsequent report within 10 days of making additional electioneering communications that total more than $5,000 in the calendar year.

Electioneering communication would mean a public communication by means of broadcast, cable, satellite, newspaper, magazine, mass mailing, billboard, telephone calls that are identical or substantially similar (whether live or prerecorded), *internet*

communication (see below), or other form of general public communication that meets all of the following:

- It references a ***clearly identifiable*** candidate, regardless of whether it contains express advocacy.
- It does so within 100 days before a general election or 30 days before a primary or special election where the candidate appears on the ballot.
- It is targeted to the relevant electorate where the candidate appears on the ballot, as defined in rules developed and issued by the secretary of state.

Clearly identify or clearly identifiable would mean any of the following:

- Identifying a candidate by name, nickname, image, or inference.
- Identifying a ballot question by its name, popular or official title, acronym, or number or a symbol associated with it.[10]
- Making an unambiguous reference to a candidate or ballot question using a phrase such as "the governor," "the incumbent," or "your representative" or an unambiguous reference to their status as a candidate, such as "the Republican candidate for Secretary of State."

Reports would have to be filed with the clerk of the county where the person has their residence or, if the person is not a Michigan resident or the communication references a candidate for *state elective office* (see above) or judicial office, with the secretary of state. Reports would have to be made on a form provided by the secretary of state and include all of the following:

- The dates of the disbursements for the communications.
- All candidates clearly identified in the communications.
- The amount of the disbursements.
- The name and address of the person to whom any disbursements were made.
- The name and address of the person filing the report.
- The date the person's electioneering communications totaled more than $5,000.
- The name, address, occupation, employer, and principal place of business of each person that contributed more than $100 for making electioneering communications.
- Any other information the secretary of state determines necessary.

A person would not have to register as a political committee if the only thing they do under the act is spend $5,000 or more in a calendar year on electioneering communications.

Sanctions and penalties

A person that fails to file a report as described above would have to pay a late filing fee.[11] A person that fails to file a report for more than 30 days after it is required would be guilty of a misdemeanor punishable by imprisonment for up to 90 days or a fine of up to $1,000, or both.

Disclosures and disclaimers for election-related communications

The act generally requires **printed matter** (such as a pamphlet, poster, or billboard) that refers to an election, candidate, or ballot question to identify the person paying for it by name and address. Printed matter that is not authorized in writing by the candidate also must say "Not

[10] Note, however, that *electioneering communications* include only communications concerning candidates. See below for provisions that use *clearly identify* or *clearly identifiable* with regard to ballot questions.

[11] The ballot proposal does not indicate the amount of this fee.

authorized by any candidate committee." In certain cases, it also has to say that it is paid for "with regulated funds."

In addition, a **radio or television** advertisement that refers to an election, candidate, or ballot question must identify the name of the person paying for it, identify the sponsoring person as required by the Federal Communications Commission (FCC), note that it is paid for "with regulated funds" in some cases, and comply with the following, as applicable:

- If the advertisement relates to a candidate and is an *independent expenditure* (see below), it must say "Not authorized by any candidate."
- If the advertisement relates to a candidate and is not an independent expenditure but is paid for by a person other than the candidate, it must say "Authorized by [name of candidate or candidate committee]."

The act also contains disclosure and disclaimer provisions for communications that **do not expressly advocate** the election or defeat of a clearly identified candidate, which as described above are not now otherwise subject to the act. These communications must comply with the above requirements (except the "with regulated funds" disclaimers) if all of the following apply:

- The communication references a clearly identified candidate or ballot question.
- The communication does so within 60 days[12] before a general election or 30 days before a primary where the candidate or ballot question appears on a ballot.
- The communication is targeted to the relevant electorate where the candidate or ballot question appears on the ballot by means of radio, television, mass mailing, or prerecorded telephone message.

Internet communications

Under Proposal 26-2, the above **printed matter** requirements would apply to ***internet communications***. If it is not technologically possible to provide all of the required information in the internet communication's medium of distribution,[13] the communication would have to do both of the following in a clear and conspicuous manner:

- State the name of the person who paid for the communication.
- Provide a means for the recipient to immediately get the rest of the required information with minimal effort and without getting or viewing any other material.

Internet communication would mean a public communication over the internet that is placed or promoted on another person's website, digital device, application, or advertising platform for a fee (that is, a payment is made to increase its circulation, prominence, or availability).

Audio or video paid advertisements

Proposal 26-2 would change the term "**radio or television** paid advertisement" to "audio or video paid advertisement," which would extend those disclosure and disclaimer requirements to audio and video ads that are distributed in ways other than through radio or television broadcasters regulated by the FCC (e.g., through websites, streaming services, or apps).

[12] Note that the equivalent period for *electioneering communications* under the ballot proposal is 100 days.

[13] At the secretary of state's request, a person claiming that its internet communication lacks sufficient space for the required information would have to be able to establish that as the case.

Electioneering communications

Proposal 26-2 also would provide that all of the act's disclosure and disclaimer requirements for both printed matter and audio or video paid advertisements apply to *electioneering communications* (defined as above). The proposal would remove the current disclosure and disclaimer provisions for communications that **do not expressly advocate** the election or defeat of a clearly identified candidate during an election period.

Prerecorded telephone messages

The act now requires prerecorded telephone messages that expressly advocate for or against a *clearly identified* candidate or ballot question to identify the name and contact information of the person paying for the message, indicate "paid for with regulated funds" as applicable, and include a disclaimer if it was generated wholly or substantially by artificial intelligence. Proposal 26-2 would change *clearly identified* in these provisions to *clearly identifiable*.

Penalties

A person that knowingly violates any of the disclosure and disclaimer provisions described above would be guilty of a misdemeanor punishable by a fine of up to $1,000 or imprisonment for up to 93 days, or both.

Definition of "expenditure" under the act

The act now generally defines an *expenditure* as a payment of money or anything of value (including a donation, loan, or promise of payment) for goods, materials, services, or facilities to assist or oppose the nomination or election of a candidate; the qualification, passage, or defeat of a ballot question; or the qualification of a new political party. The act provides a list of things that are considered expenditures under the act (inclusions) and a list of things that are not (exclusions). Proposal 26-2 would not amend the basic definition of *expenditure*, but it would change the act's current inclusions and exclusions.

First, the act now provides that *expenditure* does not include spending on a communication that does not in express terms advocate the election or defeat of a clearly identified candidate. The act says that this exclusion is intended to restrict the application of the act to only communications that contain express words advocating election or defeat, such as "vote for," "elect," "support," "cast your ballot for," "Smith for governor," "vote against," "defeat," or "reject."

Proposal 26-2 would remove this exclusion.

Second, the act provides that *expenditure* does not include an expenditure for a communication on a subject or issue as long as the communication does not support or oppose a ballot question or candidate by name or by clear inference.

Proposal 26-2 would remove this exclusion and instead provide that *expenditure* does not include an expenditure for a communication on a subject or issue as long as the communication both does not *clearly identify* a ballot question or candidate and is not an *electioneering communication*.[14]

[14] *Electioneering communications* clearly identify a candidate by definition, so this could be rephrased to say that communications that do not clearly identify a ballot question or candidate are not *expenditures* under the act.

Third, Proposal 26-2 would add that *expenditure* includes a public communication that does either of the following:

- Expressly advocates for or against a candidate's nomination or election or a ballot question's qualification or passage.
- Promotes, supports, attacks, or opposes a candidate or ballot question without expressly advocating for or against the candidate's nomination or election or the ballot question's qualification or passage.

Reports of independent expenditures

Currently under the act, a person that is not a committee and that makes an ***independent expenditure*** of more than $100 in a calendar year advocating the election or defeat of a candidate or the qualification, passage, or defeat of a ballot question must file a report of the expenditure within 10 days after making it.[15]

> ***Independent expenditure*** means an expenditure that meets both of the following:
>
> - It is not a contribution to a committee.
> - It is not made in cooperation, consultation, or concert with, or at the request or suggestion of, a ballot question committee, a candidate, a candidate committee or its agents, or a political party committee or its agents.

Under Proposal 26-2, a person that is not a committee and that makes independent expenditures advocating the election or defeat of a candidate or the qualification, passage, or defeat of a ballot question that total more than $500 in a calendar year would have to file a report within 10 days of making independent expenditures that total more than $500.01. The person would have to file a subsequent report within 10 days of making additional independent expenditures that total more than $500.01 in the calendar year.

Prohibition against arrangement to transfer a contribution

The act now prohibits a person from making a contribution to another person with an agreement or arrangement to transfer the contribution to a particular *candidate* committee.

Proposal 26-2 would expand this provision to apply to transfers to any committee established under the act, not just a candidate committee. Under the proposal, a person could not make a contribution to another person with an agreement or arrangement to transfer the contribution to a particular ballot question committee, candidate committee, independent expenditure committee, political committee, or political party committee.

Severability

Proposal 26-2 would add language to the Michigan Campaign Finance Act stating that the provisions of the act are severable. This means that if a court finds any part of the act to be invalid (e.g., because it is unconstitutional), that ruling does not affect the validity of the rest of the act, which continues in force to the extent possible. Because all Michigan laws are always

[15] Under both current law and the ballot proposal, these reports must be filed with the clerk of the county where the person has their residence or, if they are not a Michigan resident or if the expenditure advocates for or against a state-level candidate or ballot question, with the secretary of state. The report must identify the relevant candidate or ballot question and include the expenditure's date and amount, a brief description, the name and address of the person it was paid to, the name and address of the person filing the report, and the name, address, occupation, employer, and principal place of business of each person that contributed more than $100.

already severable under section 5 of Chapter 1 of the Revised Statutes of 1846,[16] this added language has no substantive effect.

Supermajority requirement

Finally, if Proposal 26-2 is approved, the following sections of the Michigan Campaign Finance Act could be amended or repealed by the legislature only with a three-fourths majority of both the House of Representatives and the Senate:[17]

- Section 1 (short title of the act).
- Section 3 (definitions for the terms candidate, candidate committee, clearly identify or clearly identifiable, closing date, and committee).
- Section 5 (definitions for the terms domestic dependent sovereign, election, election cycle, electioneering communication, and elective office).
- Section 6 (definition for the term expenditure).
- Section 9 (definitions for the terms incidental expense, independent expenditure, independent expenditure committee, internet communication, loan, local ballot question, local elective office, and local unit of government).
- Section 30a (electric or gas utilities).
- Section 30b (government contractors).
- Section 44 (prohibited committee contributions and expenditures).
- Section 47 (communication disclosures and disclaimers).
- Section 51 (required expenditure reports).

BACKGROUND:

Section 9 of Article II of the state constitution provides for an initiative process through which laws can be enacted, amended, or repealed by petition. Initiative petitions must be signed by a number of voters equal to at least 8% of the votes cast for all candidates in the last election for governor. The signatures must be collected within 180 days, submitted to the secretary of state at least 160 days before the next general election, and verified as valid by the Board of State Canvassers.

If the petition is certified by the Board of State Canvassers, it is first presented to the legislature, which has 40 session days to approve it without change. If the legislature approves the initiative in time, it becomes law without needing the governor's signature. If the legislature rejects the initiative or does not act within the 40 days, the proposed law goes before voters at the next general election.[18]

An initiative that is approved by the voters takes effect 10 days after the official declaration of the vote. It is not subject to veto by the governor, and it cannot be amended or repealed by the legislature without a three-fourths majority in each house.[19]

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[16] https://www.legislature.mi.gov/Laws/MCL?objectName=mcl-8-5

[17] This attorney general opinion holds that a three-fourths vote is required to amend or repeal a section of law that was amended by an initiated law: https://www.ag.state.mi.us/opinion/datafiles/1980s/op05627.htm

[18] The legislature can also, within that 40 days, vote down the initiative and propose and approve a different law on the same subject (an "alternative measure"). If it does so, both the initiative and the alternative measure go before voters at the next general election. If voters approve both of them, the one with the most votes becomes law.

[19] However, an initiative approved by the legislature, rather than voters, can be amended or repealed by future legislatures on a simple majority vote.

Proposal 26-2 is an initiative petition sponsored by a ballot question committee called Michiganders for Money Out of Politics.[20] The committee's petition language was approved at the end of 2025. With a total of 4,461,972 votes cast in the 2022 governor's race, 356,958 valid signatures were required for it to move forward. On May 27, 2026, the committee filed 561,282 signatures with the secretary of state, 65.7% of which (or 368,762) were determined to be valid based on statistical sampling.[21] On July 24, the Board of State Canvassers certified the initiative petition.

The legislature received the initiative on July 27, and so had until September 5 to approve it as law. While the initiative was under consideration by the legislature, a ballot question committee called Protect MI Free Speech[22] filed a lawsuit asking the Michigan Supreme Court to overturn the Board of State Canvassers' certification, arguing that the methods used to verify whether there were enough valid signatures were flawed or misapplied. The Supreme Court issued an order on September 3 denying the complaint, saying that "the Court is not persuaded that it should grant the requested relief."

The House of Representatives passed the initiative on August 25, but the Senate did not act before the September 5 deadline. As a result, the initiative was placed on the November 2026 general election ballot as Proposal 26-2.

FISCAL IMPACT:

Proposal 26-2 could result in additional costs to the Department of State and the Department of Attorney General. The Department of State would have to investigate alleged violations of the proposed restrictions on political contributions from utility companies and affiliated entities. Costs would depend on the number of alleged violations, work volume of ensuing investigations, and whether any additional investigative staff employees would need to be hired.

The Department of Attorney General may incur some additional marginal costs if it chooses to take legal action related to an electric or gas utility company in violation of the proposed legislation that refuses to pay its civil fine. It is anticipated that current ongoing funding would be able to support any additional cost related to this.

Violating provisions of Proposal 26-2 that result in misdemeanor charges punishable by fines, imprisonment, or both, would increase costs related to county jails and possibly local misdemeanor probation supervision. Costs of local incarceration in county jails and local misdemeanor probation supervision, and how those costs are financed, vary by jurisdiction. Any increase in penal fine revenue would increase funding for public and county law libraries, which are the constitutionally designated recipients of those revenues. Local court systems would be affected depending on how court caseloads and related administrative costs are affected.

Violating provisions of Proposal 26-2 that result in payment of civil fines would affect the state and local units of government. Revenue collected from payment of civil fines is used to support

[20] https://mopupmichigan.org/
[21] https://www.michigan.gov/sos/-/media/Project/Websites/sos/BSC-Announcements/2026/MMOP-Staff-Report.pdf
[22] https://www.michamber.com/?s=protect+mi+free+speech

public and county law libraries. Also, under section 8827(4) of the Revised Judicature Act, $10 of the civil fine would be required to be deposited into the state's Justice System Fund, which supports various justice-related endeavors in the judicial branch and legislative branches of government and the Departments of State Police, Corrections, Health and Human Services, and Treasury.

There is no practical way to determine the number of violations that would occur, so an estimate of the amount of costs related to county jails, penal and civil fine revenue collections, or costs to local courts cannot be made.

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■ This analysis was prepared by nonpartisan House Fiscal Agency staff for use by House members in their deliberations and does not constitute an official statement of legislative intent.